



Rating
Hold

North America
United States

Consumer
Consumer Staples

Company
**The Coca-Cola
Company**

Reuters
KO.N

Bloomberg
KO US

Exchange
NYS

Ticker
KO

Date
13 February 2024

Results

Price at 12 Feb 2024 (USD)	59.70
Price target	63.00
52-week range	64.30 - 52.38

Quick Take - KO's 4Q23 results

How do we expect the market to react?

Against positive-leaning positioning into the results, we expect a broadly neutral to favorable reaction to 4Q results (+12% organic sales vs. DBE/Street: ~+9.0%; in-line EPS of \$0.49) and FY24 guidance (EPS of \$2.80-2.82 and organic growth of +6%-7%). While the underlying strength in KO's business is undeniable (broadly matching or exceeding Street expectations, as evidenced by organic growth and gross margin upside), headwinds from unfavorable FX (largely from hyperinflationary markets – e.g., monetary asset revaluations in Argentina) and M&A are likely to stand in the way of positive EPS revisions, and also point to probable downward revisions in revenue expectations for the year. Free cash flow guidance of \$9.2 billion (excluding a likely ~6B payment associated with KO's IRS tax case) may also raise questions (relative to implied net income of ~\$12 billion – i.e., ~75% FCF conversion), although some of the likely headwinds weighing on higher conversion had been previously discussed by management.

Stepping back, momentum exiting FY23 was broad-based on the top line, with +9 points of price/ mix (vs. DBE +6.7%) coming on top of +3% concentrate sales (DBE +2.2%); unit case sales were +2% vs DB +1.2%. Underlying gross margins were up by +200 bps (driven by strong top-line growth partially offset by higher commodity costs, while headline gross margins exceeded DBE/consensus by ~+65 bps (57.8% vs. DBE/Street: 57.2%)—up ~+140 bps YOY. However, higher marketing investment in the quarter more than offset better gross margins, with operating margins (23.1% vs. DBE: 23.4%/23.2%) finishing slightly lower than expectations.

Overall, we expect investor questions to focus mainly on (i) the balance of volume and price/mix within organic growth outlook given inflationary pricing, (ii) sizing of FY24 cost/FX headwinds relative to productivity and elective reinvestment, (iii) the go-forward impacts of below-the-line considerations (e.g., net interest income/expense), and (iv) FCF drivers.

How do reported results compare with expectations?

KO reported 4Q23 EPS of \$0.49 vs. DBE/Street: \$0.49. Organic sales grew +12.0% (DBE: +9.0%/Street: +8.8%), reflecting +3.0% concentrate sales volume (DBE: +2.2%) and +9.0% price/mix (DBE: +6.7%); unit case shipments were +2.0% (DBE: +1.2%). Gross margin of 57.8% (DBE: 57.2%/Street: 57.2%) was up ~+140 bps YOY (driven by +200 bps improvement in underlying margins, +10 bps from M&A, and

Valuation & Risks

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Consumer Staples
The Coca-Cola Company

-70 bps on FX headwinds). Overall operating income of \$2.532 billion was in line with our estimate but +2.6% above the Street. Consolidated operating margins were 23.1% (DBe: 23.4%/Street: 23.2%). FCF in the quarter was \$1.819 billion, down -18.9% YOY and -14.2% below our estimate.

By region, the organic revenue in North America was +5.0% (DBe: +5.1%/Street: +4.9%); EMEA was +25.0% (DBe: +17.1%/Street: +15.7%); Asia Pacific was +13.0% (DBe: +3.1%/Street: +4.5%); Latin America was +23.0% (DBe: +15.1%/Street: +13.8%); Global Ventures was +5.0% (DBe: +10.0%/Street: +8.2%); and Bottling was +14.0% (DBe: +9.0%/Street: +10.0%). Segment operating margins were North America at 22.6% (DBe: 23.1%/Street: 22.8%); EMEA at 48.3% (DBe: 49.5%/Street: 43.4%); Asia Pacific at 30.7% (DBe: 33.1%/Street: 28.7%); Latin America at 54.0% (DBe: 58.1%/Street: 55.8%); Global Ventures at 14.6% (DBe: 9.9%/Street: 6.6%); and Bottling at 10.0% (DBe: 9.0%/Street: 7.7%).

How has the company's outlook changed?

KO provided FY24 guidance as described below:

- Organic growth of +6% to +7% (vs. DBe: +9.2%/Street: +9.9%), a -3% to -2% currency headwind (vs. -LSD, and DBe: -1.5%) based on the current rates which includes the impact of hedged positions, and a -5% to -4% M&A headwind (DBe: -2.4%). This implies comparable revenue of \$44.868-\$46.242 billion vs. DBe: \$46.853 billion/Street: \$47.039 billion.
- Comparable EPS growth of +4% to +5%, which implies \$2.80-\$2.82 vs. DBe: \$2.83/Street: \$2.81. EPS guidance includes a -5% to -4% (vs. -MSD% previously) FX headwind and -2% M&A headwind.
- Effective tax rate of 19.2%. This does not include the impact of ongoing tax litigation with the U.S. Internal Revenue Service, if the company were not to prevail.
- FCF of \$9.2 billion (DBe: \$11.066 billion/Street: \$10.341 billion) with cash flow from operations of \$11.4 billion (DBe: \$13.642 billion/Street: \$12.291 billion) and capex of ~\$2.2 billion (DBe: \$2.577 billion/Street: \$1.897 billion). Guidance (and DBe) for cash from operations and FCF does not include any potential payments related to the ongoing tax litigation.

For 1Q:

- Net revenues are expected to include -4% currency headwind based on the current rates and including the impact of hedged positions, and a -2% headwind from M&A.
- EPS is expected to include -8% currency headwind based on the current rates and including the impact of hedged positions, and a -1% headwind from M&A.
- 1Q24 has one less day compared to 1Q23.



Consumer Staples
The Coca-Cola Company

Figure 1: KO 4Q23 Highlights

INCOME STATEMENT							
	4Q23	4Q22	chg.	DB Est.	Delta	Street	Delta
Organic growth	12.0%	15.0%	-300 bps	9.0%	305 bps	8.8%	320 bps
Comparable Revenue	\$10,948	\$10,195	7.4%	\$10,815	1.2%	\$10,649	2.8%
Cost of Goods Sold	4,617	4,440	4.0%	4,629	(0.3%)	4,560	1.2%
Gross Profit	6,331	5,755	10.0%	6,186	2.3%	6,089	4.0%
SG&A	3,799	3,435	10.6%	3,655	4.0%	3,622	4.9%
Operating Income	2,532	2,320	9.1%	2,532	0.0%	2,467	2.6%
Net Interest Expense	152	167	(9.0%)	150	1.0%	162	(6.3%)
Equity (income) loss	(388)	(329)	17.9%	(336)	15.6%	(377)	3.0%
Other (income) loss	119	55	116.4%	50	138.0%	38	212.6%
Pretax Income	2,649	2,427	9.1%	2,667	(0.7%)	2,643	0.2%
Taxes	506	465	8.8%	507	(0.1%)	505	0.2%
Noncontrolling Interest	13	25	(48.0%)	26	(50.5%)	27	(51.9%)
Net Income (Comparable)	2,130	1,937	10.0%	2,134	(0.2%)	2,111	0.9%
Diluted EPS - Comparable	\$0.49	\$0.45	10.4%	\$0.49	0.1%	\$0.49	0.8%
Diluted Shares Outstanding	4,330	4,347	(0.4%)	4,341	(0.3%)		
MARGIN ANALYSIS							
	4Q23	4Q22	chg.	DB Est.	Delta	Street	Delta
Gross Margin	57.8%	56.4%	138 bps	57.2%	63 bps	57.2%	65 bps
SG&A Ratio	34.7%	33.7%	101 bps	33.8%	91 bps	34.0%	69 bps
Operating Margin	23.1%	22.8%	37 bps	23.4%	-28 bps	23.2%	-4 bps
Pretax Margin	24.2%	23.8%	39 bps	24.7%	-46 bps	24.8%	-62 bps
Tax Rate	19.1%	19.2%	-6 bps	19.0%	10 bps	19.1%	-1 bps
Net Margin	19.5%	19.0%	46 bps	19.7%	-27 bps	19.8%	-37 bps
COMPARABLE REVENUE BY SEGMENT							
	4Q23	4Q22	chg.	DB Est.	Delta	Street	Delta
EMEA	1,724	1,558	10.7%	1,668	3.3%	1,615	6.8%
Latin America	1,511	1,302	16.1%	1,485	1.7%	1,450	4.2%
North America	4,043	3,855	4.9%	4,051	(0.2%)	4,044	(0.0%)
Asia Pacific	1,158	1,057	9.6%	1,079	7.3%	1,067	8.5%
Global Ventures	813	740	9.9%	847	(4.0%)	808	0.6%
Bottling	2,013	1,982	1.6%	1,992	1.1%	1,999	0.7%
Corporate	31	17	82.4%	31	0.6%	23	36.9%
Eliminations	(345)	(316)	9.2%	(339)	1.9%	(358)	(3.5%)
Total Comparable Revenue	10,948	10,195	7.4%	10,815	1.2%	10,649	2.8%
OPERATING PROFIT BY SEGMENT							
	4Q23	4Q22	chg.	DB Est.	Delta	Street	Delta
EMEA	832	647	28.6%	826	0.7%	700	18.8%
Latin America	816	737	10.7%	863	(5.5%)	810	0.8%
North America	914	870	5.1%	935	(2.2%)	923	(0.9%)
Asia Pacific	356	313	13.7%	357	(0.4%)	306	16.2%
Global Ventures	119	36	230.6%	84	42.4%	54	121.7%
Bottling	201	128	57.0%	178	12.6%	154	30.8%
Corporate / Eliminations	(706)	(411)	71.8%	(711)	(0.8%)	(480)	47.2%
Total Operating Profit	2,532	2,320	9.1%	2,532	0.0%	2,467	2.6%
SEGMENT OPERATING MARGIN							
	4Q23	4Q22	chg.	DB Est.	Delta	Street	Delta
EMEA	48.3%	41.5%	673 bps	49.5%	(127 bps)	43.4%	491 bps
Latin America	54.0%	56.6%	(260 bps)	58.1%	(410 bps)	55.8%	(182 bps)
North America	22.6%	22.6%	4 bps	23.1%	(46 bps)	22.8%	(21 bps)
Asia Pacific	30.7%	29.6%	113 bps	33.1%	(237 bps)	28.7%	203 bps
Global Ventures	14.6%	4.9%	977 bps	9.9%	477 bps	6.6%	800 bps
Bottling	10.0%	6.5%	353 bps	9.0%	103 bps	7.7%	230 bps
Total	23.1%	22.8%	37 bps	23.4%	(28 bps)	23.2%	(4 bps)
SALES DERIVATION (Actual)							
	Volume	Price/Mix	Organic	M&A/Other	FX	Sales	
EMEA	2.0%	24.0%	25.0%	0.0%	(14.0%)	10.7%	
Latin America	10.0%	14.0%	23.0%	0.0%	(8.0%)	16.1%	
North America	(3.0%)	8.0%	5.0%	0.0%	0.0%	4.9%	
Asia Pacific	3.0%	10.0%	13.0%	(1.0%)	(5.0%)	9.6%	
Global Ventures	3.0%	3.0%	5.0%	0.0%	4.0%	9.9%	
Bottling	7.0%	7.0%	14.0%	(8.0%)	(4.0%)	1.6%	
Total	3.0%	9.0%	12.0%	(1.0%)	(4.0%)	7.4%	
Note: Volume from Concentrate Sales. M&A/Other includes acquisitions/divestitures/structural items/accounting changes. Organic growth is not selling-day adjusted.							
SALES DERIVATION (DBe)							
	Volume	Price/Mix	Organic	M&A/Other	FX	Sales	
EMEA	(0.9%)	18.0%	17.1%	0.0%	(10.0%)	7.1%	
Latin America	5.1%	10.0%	15.1%	0.0%	(1.0%)	14.1%	
North America	1.6%	3.5%	5.1%	0.0%	0.0%	5.1%	
Asia Pacific	3.1%	0.0%	3.1%	0.5%	(1.5%)	2.1%	
Global Ventures	2.0%	8.0%	10.0%	0.0%	4.5%	14.5%	
Bottling	6.0%	3.0%	9.0%	(6.0%)	(2.5%)	0.5%	
Total	2.2%	6.7%	9.0%	(1.0%)	(1.9%)	6.1%	

Source : Bloomberg Finance LP, Company filings, Deutsche Bank estimates and analysis



Appendix 1

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*Other information available upon request

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Company	Ticker	Recent price*	Disclosure
The Coca-Cola Company	KO.N	59.7 (USD) 12 Feb 2024	2, 7, 8, 14, 15, 24, 26

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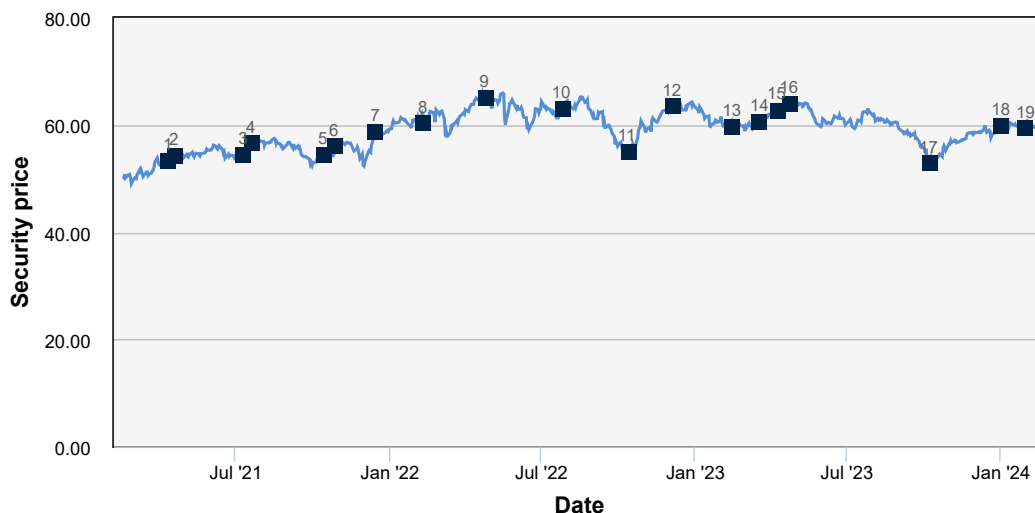
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Historical recommendations and target price: The Coca-Cola Company (KO.N)

(as of 02/12/2024)



Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

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2.	04/20/2021	Hold, Target Price Change USD 57.00, Current Price USD 54.17 Stephen Powers	12.	12/06/2022	Hold, Target Price Change USD 62.00, Current Price USD 63.44 Stephen Powers
3.	07/11/2021	Hold, Target Price Change USD 58.00, Current Price USD 54.46 Stephen Powers	13.	02/15/2023	Hold, Target Price Change USD 63.00, Current Price USD 59.59 Stephen Powers
4.	07/21/2021	Hold, Target Price Change USD 60.00, Current Price USD 56.55 Stephen Powers	14.	03/20/2023	Hold, Target Price Change USD 60.00, Current Price USD 60.60 Stephen Powers
5.	10/15/2021	Hold, Target Price Change USD 59.00, Current Price USD 54.48 Stephen Powers	15.	04/10/2023	Hold, Target Price Change USD 61.00, Current Price USD 62.69 Stephen Powers
6.	10/28/2021	Hold, Target Price Change USD 60.00, Current Price USD 56.04 Stephen Powers	16.	04/25/2023	Hold, Target Price Change USD 63.00, Current Price USD 63.85 Stephen Powers
7.	12/16/2021	Hold, Target Price Change USD 61.00, Current Price USD 58.65 Stephen Powers	17.	10/09/2023	Hold, Target Price Change USD 60.00, Current Price USD 52.88 Stephen Powers
8.	02/11/2022	Hold, Target Price Change USD 62.00, Current Price USD 60.29 Stephen Powers	18.	01/02/2024	Hold, Target Price Change USD 62.00, Current Price USD 59.82 Stephen Powers
9.	04/26/2022	Hold, Target Price Change USD 64.00, Current Price USD 65.05 Stephen Powers	19.	01/31/2024	Hold, Target Price Change USD 63.00, Current Price USD 59.49 Stephen Powers
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Consumer Staples
The Coca-Cola Company



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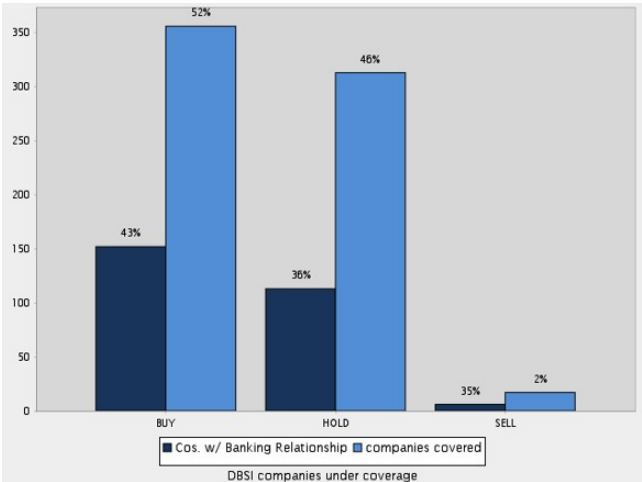
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Consumer Staples
The Coca-Cola Company



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